

# A.U. Securities

## Online Brokerage Technology Risk and Controls Assessment

### Company Overview

A.U. Securities is a fictional U.S.-based online brokerage firm that provides retail investors with access to stocks, exchange-traded funds (ETFs), and listed options through web and mobile applications.

Customers can create brokerage accounts, verify their identities, link external bank accounts, deposit funds, place securities trades, monitor account balances and investment holdings, and withdraw available cash.

A.U. Securities relies on internal technology systems and third-party service providers to support customer authentication, banking transactions, market data, trade processing, infrastructure, and security monitoring.

### Project Objective

The objective of this project is to perform a simulated technology risk and IT controls assessment of A.U. Securities.

The assessment will identify significant technology, operational, financial, and compliance-related risks and evaluate whether appropriate controls are in place to reduce those risks.

The project will focus particularly on areas where technology directly supports critical brokerage operations, customer information, and customer assets.

## Assessment Scope

The assessment will examine the following areas:

- Identity and access management
- Customer authentication and account recovery
- Employee and administrator access
- Deposits, withdrawals, and bank-account changes
- Trade processing and brokerage transactions
- Fraud detection and transaction monitoring
- Security logging and monitoring
- Change management and system security
- Third-party service providers
- Business continuity, backups, and disaster recovery

## Key Assets

Key assets considered during the assessment include:

- Customer personally identifiable information
- Customer brokerage accounts
- Cash balances and investment holdings
- Linked bank-account information
- Trading and transaction records
- Customer login credentials
- Employee and administrator accounts
- Brokerage applications and databases
- Security and operational logs
- Backup and recovery data

## Assessment Approach

The assessment will use a risk-based approach. Business processes and supporting technology systems will first be mapped to understand how customer information, money, and securities transactions move through the brokerage environment.

Potential risks will then be identified and evaluated based on their likelihood and potential business impact. Existing or proposed controls will be documented and assessed to determine whether they adequately reduce each risk.

Selected controls will also be accompanied by simulated audit procedures and evidence requirements to demonstrate how an auditor could test their effectiveness.

## Project Deliverables

The assessment will produce four primary deliverables:

1. Brokerage Process and System Diagram
2. Risk Register and Risk & Control Matrix Workbook
3. Audit Findings Report
4. Executive Technology Risk Assessment Report

All companies, systems, users, transactions, and evidence used in this project are fictional and created solely for educational and portfolio purposes.